THE BOARD OF DIRECTORS OF CIC INSURANCE GROUP LIMITED IS PLEASED TO ANNOUNCE THE AUDITED RESULTS FOR THE GROUP FOR THE YEAR ENDED 31 DECEMBER 2015

CIC GROUP

CONSOLIDATED STATEMENTS OF PROFIT OR LOSS AND OTHER COMPREHENSIVE INCOME

	2015 KShs'000	2014 KShs'000
Gross written premiums	**11,439,541**	**13,721,376**
Gross earned premiums	12,638,444	13,363,942
Less: Reinsurance ceded	(1,909,518)	(1,053,618)
Net earned premiums	10,728,926	12,310,324
Fees and commission income	650,516	385,697
Investment income	1,537,813	1,051,816
Other gains	909,296	772,038
Total income	**13,826,552**	**14,519,875**
Claims and policyholders' benefits expense	(7,283,698)	(8,641,875)
Commissions expense	(1,379,772)	(1,138,843)
Operating and other expenses	(3,823,833)	(3,356,525)
Total expenses	**(12,487,303)**	**(13,137,243)**
Share of results of associate	(163)	7,682
Profit before taxation	1,339,086	1,390,314
Taxation charge	(202,482)	(301,874)
Profit for the year	**1,136,604**	**1,088,440**
OTHER COMPREHENSIVE INCOME		
Surplus on revaluation of buildings	80,075	87,834
Forex loss on translation	(282,179)	-
Fair value loss on available - for - sale investments	(152,393)	(51,690)
Total comprehensive income for the year	**782,107**	**1,124,584**
Earnings per share (KShs.)	**0.43**	**0.42**

ABRIDGED CONSOLIDATED STATEMENT OF CASH FLOWS

	2015 KShs'000	2014 KShs'000
Net cash (used in) / generated from operating activities	(1,172,722)	961,771
Net cash generated / (used in) investing activities	3,782,770	(5,968,416)
Net cash (used in) / generated in financing investments	(245,784)	4,834,300
INCREASE/(DECREASE) IN CASH AND CASH EQUIVALENTS:	2,364,264	(172,345)
CASH AND CASH EQUIVALENTS AT THE BEGINNING OF THE YEAR	2,442,026	2,614,371
CASH AND CASH EQUIVALENTS AT 31 DECEMBER	**4,806,290**	**2,442,026**

CIC INSURANCE GROUP LIMITED
CONSOLIDATED STATEMENT OF FINANCIAL POSITION

	2015 KShs'000	2014 KShs'000
ASSETS		
Property and equipment	1,344,707	1,257,021
Intangible assets	93,461	94,747
Investment properties	5,420,742	4,596,000
Investment in associate	129,166	117,554
Government securities	3,213,601	2,503,013
Loans receivables	986,919	871,961
Deferred taxation	130,958	30,055
Equity investments	1,075,779	377,619
Deposits and commercial paper	2,806,980	2,330,233
Deferred acquisition costs	416,220	404,050
Receivables arising out of reinsurance arrangements	622,989	203,563
Receivables arising out of direct insurance arrangements	1,372,319	1,464,532
Reinsurers share of liabilities and reserves	1,365,388	639,214
Taxation recoverable	1,806	46,322
Other receivables	371,888	446,040
Due from related parties	93,889	272,448
Deposits with financial institutions	4,842,340	7,476,940
Cash and bank balances	524,704	559,075
TOTAL ASSETS	**24,813,856**	**23,690,387**
EQUITY		
Share capital	2,615,578	2,615,578
Share premium	162,179	162,179
Statutory reserve	1,039,810	970,671
Revaluation surplus	138,877	87,834
Foreign currency translation reserve	(195,091)	-
Fair value reserve	(205,921)	(53,528)
Retained earnings	4,110,670	3,424,706
Non-Controlling interest	164,383	-
TOTAL EQUITY	**7,830,484**	**7,207,440**
LIABILITIES		
Insurance contracts liabilities	3,024,952	2,684,723
Unearned premiums reserve	3,407,235	4,396,959
Actuarial value of policyholder liabilities	3,365,171	3,288,325
Deposit administration contracts	756,097	-
Payables arising from reinsurance arrangements and insurance bodies	25,631	63,826
Other payables	782,973	546,185
Dividend payable	34,607	34,662
Deferred taxation	518,669	416,001
Borrowing	5,068,037	5,052,266
TOTAL LIABILITIES	**16,983,372**	**16,482,947**
TOTAL EQUITY AND LIABILITIES	**24,813,856**	**23,690,387**

FINANCIAL HIGHLIGHTS

- Gross earned premium decreased by 5% from KShs.13.3 b in 2014 to KShs.12.6 b in 2015
- Total assets increased by 5% to KShs.24.9 b
- Shareholders' funds were up by 9% to KShs.7.8 b
- Profit before tax declined by 4% to Kshs.1.3 b while profit after tax increased by 4%

The year 2015 started off on a promising note but the significant increase in interest rates and the notable depreciation of the East African currencies against the US dollar in the second half turned the year into an extremely challenging one. The twin devaluation of both equities quoted on the NSE and bonds marked to market also had an impact on previously expected investment income.

Our gross earned premium dropped by 5% largely because of a deliberate strategy to streamline our medical business as well as our group life business which saw a number of large loss making accounts exit our portfolio. This strategy has already started bearing fruit.

DIVIDENDS

The directors recommend the payment of a first and final dividend of 10.5% of paid up share capital totalling to Ksh 274,635,699 (2014 – Ksh 261,553,852). The dividend is subject to shareholders' approval at the Annual General Meeting and payment will be subject to withholding tax at the applicable rate.

The payment will be made on or about 20th June 2016 to the shareholders registered at the close of business on 6 May 2016.

OUTLOOK

Going forward, we are confident that our focus on pricing premiums competitively whilst ensuring profitability, and our deliberate diversification into lines of business where we have traditionally not been big players will certainly deliver good results.

ANNUAL GENERAL MEETING

Notice is hereby given that the Annual General Meeting of CIC Insurance Group Limited will be held at Hilton Hotel, Nairobi on Friday 13 May 2016.

MESSAGE FROM THE DIRECTORS

These financial statements are extracts of the financial report of the Group which were audited by Ernst & Young and have received an unqualified opinion. A full set of these financial statements will be available at our registered office at CIC Plaza and online at www.cic.co.ke for inspection after approval by members at the Annual General Meeting. The financial statements were approved by the Board of Directors on 9th March 2016 and were signed on its behalf by:

Japheth Magomere Group Chairman	Tom Gitogo Group Chief Executive Officer	Philip Lopokoyit Director